

CONSULTANT AGREEMENT
INTERIM TOWN ADMINISTRATOR

THIS AGREEMENT between the Town of Paonia, a municipal corporation of the State of Colorado, hereinafter referred to as "Town", acting through its Board of Trustees, and Greg Robert Sund hereinafter referred to as "Interim Town Administrator".

WHEREAS, the Board of Trustees of the Town of Paonia appoints the Town Administrator of the Town; and

WHEREAS, the Town is in need of the services of an Interim Town Administrator; and

WHEREAS, the Board of Trustees desires to retain the services of Greg Robert Sund as Interim Town Administrator upon the terms and conditions as set forth herein; and

WHEREAS, Greg Robert Sund desires to serve as Interim Town Administrator of the Town of Paonia upon the terms set forth herein.

NOW, THEREFORE, IN CONSIDERATION OF THE MUTUAL COVENANTS SET FORTH HEREIN, THE PARTIES AGREE AS FOLLOWS:

Section 1 – Appointment

Town appoints Greg Robert Sund as Interim Town Administrator of the Town of Paonia subject to the terms and conditions set forth herein.

Section 2 – Hours of Work

The Interim Town Administrator shall make himself present "on-site" during business hours, generally up to 5 days per week at the Paonia Town Hall. Some of the hours worked by Interim Town Administrator not to exceed 40 hours/week may be worked off-site. If the Board of Trustees determines that his presence is required for more days in a particular week and the Interim Town Administrator determines that he is available to be present, then the Interim Town Administrator shall increase the time he is present accordingly. The Board of Trustees and Interim Town Administrator may mutually agree to some flexibility in this schedule in order to accommodate the needs of both the Interim Town Administrator and the Town.

Section 3 – Scope of Services

The Interim Town Administrator shall perform, but not be limited to, the following:

A. Assist with day-to-day operations and management duties as outlined in the January 2023 Job Description for the Town Administrator in conjunction with Administrator/Treasurer Wynn until July 10, 2026, or unless otherwise amended. After such time, the Interim Town Administrator will assume the duties of the Town Administrator;

B. An "on-site" work schedule of generally not less than 30 hours per week, unless extended in accordance by D, E, and F of this section;

C. In person/Telephone/email availability to the Mayor, Board of Trustees, and key employees on a "24/7" basis;

D. Special projects, as approved by a majority of Board of Trustees, with some projects requiring additional time and resources beyond 40 hours per week;

E. Attendance at all Board of Trustees meetings and work sessions; and

F. Other duties as assigned by the Board of Trustees.

Section 4 – Term

This Agreement shall commence on the 15th of June, 2026 and extend month-to-month for a period of up to six (6) months. Extensions, up to three (3) months in duration, may be granted by mutual consent of both parties. This Agreement, if necessary, may be terminated by either party with or without cause upon thirty (30) days written notice.

Section 5 – Compensation

In consideration of the services to be rendered by the Interim Town Administrator, the Town shall pay the Interim Town Administrator \$72.50 per hour for those days during which the Interim Town Administrator is engaged in Town business pursuant to Section 2. The Board of Trustees expects the Interim Town Administrator to live in or near Paonia and will provide ½ of the cost of housing and associated utilities for the term of the service. Interim Town Administrator shall also be reimbursed for mileage at the Federal mileage rate for any travel between the Town and his home in Trinidad, Colorado.

The Interim Town Administrator shall submit an invoice every two (2) weeks in accordance with the Town's accounts payable deadline which will include hours charged and other expenses. These statements will be due and payable by the Town within thirty (30) days after submission.

Section 6 – Expenses

The Interim Town Administrator shall be entitled to per diem expenses while engaged with the Town for business purposes related to this Agreement consisting of: 1) reimbursement for mileage at the Federal mileage rate; 2) reimbursement for meals at the U.S. General Services Administration rate; and 3) reimbursement for the cost of lodging in a place acceptable to the Interim Town Administrator if so requested by the Interim Town Administrator. Other expenses not included above shall also be reimbursed, provided however that prior approval of the Mayor shall be obtained prior to such expenses.

Section 7 – Personal Protection Equipment

To the extent that Personal Protection Equipment (PPE) is necessary for the conduct of Town business, Town shall provide said PPE, without cost to Interim Town Administrator.

Section 8 – Independent Contractor Status

It is expressly agreed and understood by and between the parties that the Interim Town Administrator is an independent contractor, and as such, the Interim Town Administrator is not a Town employee and is not entitled to payment or compensation from the Town or to any fringe benefits to which other Town employees are entitled other than as set forth herein. As an independent contractor, the Interim Town Administrator further acknowledges that he is solely responsible for the payment of any and all income taxes, FICA, withholding, unemployment insurance, or other taxes due and owing any governmental entity whatsoever as a result of this Agreement. As an independent contractor, the Interim Town Administrator will not make any claim, or demand or application to or for any right or privilege applicable to any officer or employee of the Town, including but not limited to worker's compensation coverage, unemployment insurance benefits, social security coverage or retirement.

Section 9 – Compliance with Law

The Interim Town Administrator shall comply with the provisions of State Law, Municipal Code and all other rules and policies of the Town of Paonia.

Section 10 – Indemnification

In addition to those payments set forth above, the Town will be responsible for providing and paying for all appropriate bonding and liability coverage for actions taken by the Interim Town Administrator when performed within the scope of his services as Interim Town Administrator. The Town will cause, if necessary, that said Interim Town Administrator be included as an additional named insured on the Town's liability coverage and shall cause to be provided to the Interim Town Administrator a certificate of insurance reflecting said coverage and status.

Further, the Town agrees to pay all reasonable litigation expenses of the Interim Town Administrator throughout the pendency of any litigation to which the Interim Town Administrator is a party, witness or advisor to the Town, arising out of the Interim Town's Administrator's work for the Town. Such expense payments shall continue beyond Interim Town Administrator's service to the Town as long as litigation is pending. Further, the Town agrees to pay Interim Town Administrator reasonable consulting fees and travel expenses when Interim Town Administrator serves as a witness, advisor or consultant to Town regarding pending litigation.

Section 11 – Entire Agreement; Governing Law

The text of this Agreement constitutes the entire agreement between the parties. Any representations, statements, promises or understanding not contained herein shall be of no continued force, effect or validity. This Agreement shall be construed under the laws of the State

of Colorado. Jurisdiction and venue for any action arising hereunder shall be proper and exclusive in the district court for Delta County, Colorado.

Section 12 – Severability

The invalidity in whole or in part of any provision hereof shall not affect the validity of any other provisions hereof and this Agreement shall remain in full force and effect except as to such invalid provision.

PASSED, APPROVED AND ADOPTED by the Board of Trustees of the Town of Paonia
this ____ day of _____, 2026.

Paige Smith, Mayor

ATTEST:

Town Clerk

Greg Sund, Interim Town Administrator

Date